

WRITTEN QUESTIONS (TOTAL: 100 MARKS)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 100% of the total marks for this examination.

Question 1 (15 marks – approximately 27 minutes)

Mr. Lee set up a private limited company, B & B Company Limited ("B & B"), to operate a beverage business two years ago. Mr. Lee left the operation of the business to two of his employees, namely Susan, the Sales and Marketing Manager and Peter, the Purchasing Manager. About a year ago, Mr. Lee introduced a substantial client, W & W Company Limited ("W & W"), to Susan and put her in charge of business dealings with W & W. Being greatly impressed by Susan's knowledge of wine, the Managing Director of W & W said to Susan during a business dinner that he hoped Susan could serve his company exclusively. Susan then resigned from her position and set up a private limited company to take up the business W & W promised to give her.

One day, Mr. Lee suggested that Peter should source some exotic drinks to cater for young adult clients. In order to persuade Peter to purchase its products, one beverage supplier T & T Company Limited ("T & T") offered to pay Peter a commission if he agreed to buy its products on behalf of B & B. Peter subsequently agreed to purchase T & T's products and received a secret commission from T & T without asking for Mr. Lee's prior approval. Soon after T & T had started to supply its products to B & B, Mr. Lee was told by one of his employees in the Purchasing Department of B & B that Peter had been accepting secret commission from T & T.

Recently, Mr. Lee was told by one of the employees of W & W that they had been ordering substantial quantities of wine from Susan's company for some time instead of ordering from B & B. Mr. Lee subsequently found in the employment contract signed between B & B and Susan a restrictive covenant prohibiting Susan from competing with B & B after the termination of her employment.

Required:

- (a) In relation to employment law, analyse whether Susan's act of setting up her own company to take up the business of W & W would result in breach of any fiduciary duties owed to B & B and the legal consequences, if any. (You can assume that the restrictive covenant in her employment contract with her former employer B & B is valid.)
(5 marks)
- (b) Apply anti-corruption laws and analyse whether Peter may have committed any criminal offence by accepting the secret commission from T & T.
(5 marks)
- (c) Apply employment law, including employment legislation and common law, and analyse whether B & B is entitled to terminate the employment of Peter by summary dismissal and on what grounds if B & B is entitled to do so.
(5 marks)

Question 2 (20 marks – approximately 36 minutes)

Nancy has been running a dessert shop in a village in the New Territories as a sole proprietor for more than ten years. During that period, Nancy has been earning a stable decent income from her business. About six months ago, Nancy began to think of retiring and selling her business because her doctor advised her to relax and take good care of her health. Ronald expressed interest in buying Nancy's business and visited Nancy's dessert shop. During the visit, Ronald noticed that Nancy's business was good and asked Nancy whether there was any competitor in the neighbourhood. Nancy said that there was no other dessert shop in the village and told Ronald the approximate amount of income earned from her business in the last three years.

Unknown to Nancy, about a year ago, a young lady called Eva moved into the village and decided to open a similar style dessert shop. As Eva was not a sociable person and did not try to make friends with other people in the village, Nancy and other people in the village did not really notice what she was doing.

Relying on Nancy's representation that there would be no competitor in the neighbourhood and believing that he would also be able to earn a stable decent income like Nancy, Ronald decided to enter into a contract with Nancy to buy her business. On the day of signing of the contract, Nancy did not know that Eva's dessert shop was already in operation.

Not long after Ronald had opened his dessert shop, Ronald noticed that there was another dessert shop in the village which was operated by Eva and business there was good. Ronald found that the income he earned from his business continued to decline.

When asked by Ronald about the existence of Eva's dessert shop, Nancy replied that she knew nothing about it before or on the day of their signing of the contract. Ronald did not believe what Nancy said.

Required:

- (a) In relation to contract law, analyse whether Ronald can bring a claim for misrepresentation against Nancy on the basis of what Nancy said about there being no competitor in the neighbourhood before Ronald entered into the contract with her to buy her business.**

(10 marks)
- (b) On the basis of your answer in part (a), analyse what remedies are available to Ronald, if any.**

(5 marks)
- (c) Analyse which court/ tribunal has jurisdiction to deal with Ronald's case if Ronald's claim involves an amount of more than HK\$75,000 and up to HK\$3 million.**

(5 marks)

Question 3 (15 marks – approximately 27 minutes)

David is the sole shareholder of a small private limited company, Treasures Company Limited ("TCL") set up to deal in precious stones.

Sandy is employed as a director of TCL and her responsibilities include ordering precious stones from different suppliers and reselling them to clients. Sandy is authorised by TCL to sign contracts with both suppliers and clients. About a month ago, Sandy tendered her resignation with the required notice period to David. When Sandy tendered her resignation, David asked Sandy to hand over the work she was doing to other colleagues and not to engage in any new business with any suppliers or clients. Two days after her resignation, Sandy placed an order for a few expensive precious stones with one of the suppliers, ABD Company Limited ("ABD"). Sandy then went to ABD to pick up the stones, which she did so from time to time on behalf of TCL. ABD knew nothing about Sandy's resignation because none of the suppliers were informed of Sandy's resignation. Sandy subsequently left TCL after the expiry of the notice period and disappeared with the precious stones ordered from ABD.

Recently, TCL has been suffering from serious financial problems and one of the suppliers, XYZ Company Limited ("XYZ"), has threatened to wind up TCL if TCL fails to repay the debt in the amount of HK\$50,000 owed to it. The debt is already overdue. David does not think TCL owes XYZ any debt because the goods delivered by XYZ to TCL not long ago were defective and not worth the price of HK\$50,000.

Required:

- (a) In relation to agency law,
- (i) explain the different types of an agent's authority. (3 marks)
 - (ii) analyse whether Sandy had the authority to order the precious stones on behalf of TCL after her resignation. (4 marks)
 - (iii) analyse whether TCL is liable to pay for those precious stones. (3 marks)
- (b) In relation to company and winding-up laws, analyse whether XYZ is entitled to petition for the winding-up of TCL if TCL fails to repay the debt owed to XYZ. (5 marks)

Question 4 (15 marks – approximately 27 minutes)

Roy runs a small transportation business as a sole proprietor. While Roy was driving his cargo van to deliver goods to a client a few months ago, he received a call from his daughter who told him she had received an offer from a university in Hong Kong. As Roy was overjoyed, he kept talking to his daughter and did not notice that the traffic light had turned red. Roy ran a red light and knocked down an elderly pedestrian, Mrs. Young, who was crossing the road.

Mrs. Young was badly injured. After being hospitalised for several months, Mrs. Young recovered from her injury but was wheelchair-bound. Before Mrs. Young's discharge from hospital, her son Tom wanted to buy her a good wheelchair. Tom went to a shop called "Good Equipment" to buy a wheelchair for his mother. Tom selected a wheelchair and bought it after having briefly examined it. On the day when the wheelchair was delivered, Mrs. Young wanted to ride on it to go to the park, Tom accompanied Mrs. Young to the park. When Mrs. Young reached the park, she tried to stop the wheelchair but found that the brake did not work. Luckily, Tom managed to stop the wheelchair from hitting a tree. Mrs. Young was terrified.

Required:

In relation to tort of negligence and sales of goods law:

- (a) **Analyse the essential elements of negligence and analyse whether Mrs. Young can bring a claim against Roy on the grounds of negligence.**

(10 marks)

- (b) **Analyse whether the shop "Good Equipment" was in breach of any implied terms of the Sale of Goods Ordinance (Cap.26) ("SOGO") and analyse as to what rights Tom may have under the SOGO.**

(5 marks)

Question 5 (20 marks – approximately 36 minutes)

Johnny is the sole shareholder and one of the directors of Safe and Sound Company Limited ("S & S"), a well-established medium size private limited company, which specialises in manufacturing medical equipment. A few months ago, Johnny got to know Albert, a dealer of medical equipment in Malaysia. Albert was interested in Johnny's business and proposed to Johnny that S & S should form a joint venture with his company in Malaysia to build a factory to manufacture medical equipment on a small scale. Both Johnny and Albert wish to retain the management and control of the personnel and other resources of their own company even if they decide to form a joint venture.

Johnny's best friend, Lily, is one of the directors of a company listed on the Main Board of the Hong Kong Stock Exchange, Good Profits Company Limited ("GPL"). Lily has suggested to Johnny that he should get his company S & S listed on the Hong Kong Stock Exchange because she thinks this will give S & S a better future than forming a joint venture with Albert's company.

Johnny eventually decides to form a joint venture with Albert's company. Johnny has been advised by his lawyer that a contractual joint venture should be the appropriate form of joint venture for Johnny.

Lily has recently inherited a substantial amount of money from her mother. As Lily wishes to make some investments in the stock market, she has used part of the money to acquire 5% of the shares of GPL. Lily has been advised that she has a disclosure obligation if she is a director or a substantial shareholder of a company listed on the Main Board of the Hong Kong Stock Exchange under the laws relating to securities and futures.

Required:

- (a) In regard to the option of setting up a contractual joint venture with Albert, explain to Johnny the important clauses which must be included in the joint venture agreement.

(10 marks)

- (b) In relation to the laws relating to securities and futures, analyse:

- (i) whether Lily has the obligation to disclose her interest in the shares of GPL as a director or substantial shareholder.

(4 marks)

- (ii) under what circumstances a shareholder must make such disclosure.

(6 marks)

Question 6 (15 marks – approximately 27 minutes)

Brilliant Company Limited ("BCL") is a private company limited by shares which imports clothes made of recycled materials from overseas manufacturers. Excellent Company Limited ("ECL") is also a private company limited by shares and it is wholly owned by BCL. ECL markets and sells products imported by BCL. Both BCL and ECL are incorporated in Hong Kong and the members of the Board of Directors of both BCL and ECL are the same. Both BCL and ECL carry out their own business properly and in accordance with the law.

Recently, a customer called Helen made a complaint to ECL that she had contracted a skin disease after wearing an evening gown purchased from ECL. On recommendation from a doctor, Helen arranged for a laboratory testing of the materials of the evening gown. It was found that the materials of which the evening gown was made contained toxic substances which caused the skin disease suffered by Helen. Helen subsequently incurred substantial medical expenses for the treatment of her skin disease. Helen asked ECL to pay her compensation for the medical expenses she incurred. ECL did not have sufficient funds or assets to pay Helen the amount of compensation she requested. ECL asked BCL for financial assistance but BCL refused to give ECL any financial assistance. Knowing that ECL is wholly owned by BCL and the members of the Board of Directors of both BCL and ECL are the same, Helen wishes to sue both BCL and ECL for damages.

Required:

In relation to company law:

- (a) Explain the principles of separate legal entity and limited liability. (5 marks)
- (b) Given that ECL did not have funds to pay damages it would be liable to pay to Helen, analyse whether BCL would be liable to pay to Helen such damages by referring to the principles discussed in part (a). (You do NOT need to discuss contract law principles or tort law principles in your answer.) (10 marks)

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